

MASTER CIRCULAR

HO/19/34/11(6)2025-AFD-POD1/I/12928/2026

Issued on: June 03, 2026

Last updated on: June 16, 2026

To,

All Alternative Investment Funds

All Custodians

All Depositories

All Registrar to an Issue and Share Transfer Agents

Dear Sir/Madam,

Sub: Master Circular for Alternative Investment Funds (AIFs)

1. For effective regulation of Alternative Investment Funds (AIFs), the Securities and Exchange Board of India (SEBI) has been issuing various circulars from time to time. In order to enable AIFs and other market stakeholders to have access to all applicable Circulars in the subject matter at one place, SEBI's Master Circular No. SEBI/HO/AFD-1/AFD-1-PoD/P/CIR/2024/39 for AIFs dated May 07, 2024 was issued as a compilation of such relevant circulars issued under SEBI (Alternative Investment Funds) Regulations, 2012 up to March 31, 2024.
2. Subsequently, various circulars have been issued by SEBI under SEBI (Alternative Investment Funds) Regulations, 2012. The provisions of such circulars issued till May 31, 2026 have been incorporated in this Master Circular, which supersedes the Master Circular for AIFs dated May 07, 2024.
3. Further, this Master Circular has been updated to incorporate the provisions of the circular no. HO/19/34/11(2)2026-AFD-POD1/I/13764/2026 dated June 16, 2026 on the subject 'Guidelines for winding up of AIFs with respect to retention of proceeds and 'Inoperative Fund' status'.
4. With the issuance of this Master Circular, all directions/instructions contained in the circulars listed out in **Annexure 24** to this Master Circular shall stand rescinded to the extent they relate to AIFs.
5. Notwithstanding such rescission:
 - a) anything done or any action taken or purported to have been done or taken under the rescinded circulars, prior to such rescission, shall be deemed to have been done or taken under the corresponding provisions of this Master Circular;

- b) any application made to SEBI under the rescinded circulars prior to such rescission, and pending before it, shall be deemed to have been made under the corresponding provisions of this Master Circular; and
 - c) the previous operation of the rescinded circulars or anything duly done or suffered thereunder, any right, privilege, obligation or liability acquired, accrued or incurred under the rescinded circulars, any penalty, incurred in respect of any violation committed against the rescinded circulars, or any investigation, legal proceeding or remedy in respect of any such right, privilege, obligation, liability, penalty as aforesaid, shall not be affected by such rescission and shall be enforceable as if the rescinded circulars had continued to be in force.
6. The trustee / sponsor / manager of AIF, as the case may be, shall ensure that the ‘Compliance Test Report’ prepared by the manager of the AIF, in terms of para 21.2 of this Master Circular, includes compliance with the provisions of all chapters of this Master Circular.
7. This Master Circular is issued in exercise of powers conferred under Section 11(1) of the Securities and Exchange Board of India Act, 1992 to protect the interests of investors in securities and to promote the development of, and to regulate, the securities market.
8. This Master Circular is available on SEBI website at www.sebi.gov.in in the path "Legal → Master Circulars" and "Info for → Alternative Investment Funds".

Yours sincerely,

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Annexure 22 - Exemption from certain regulatory requirements for Inoperative Fund

S. No.	Regulatory requirements	Effective date of non-applicability
1.	Limited Quarterly Activity Report and Annual Activity Report (Para 21.1 under Chapter 21 of this Master Circular for AIFs)	Limited Quarterly Activity Report - From the quarter subsequent to the quarter in which the AIF is tagged as Inoperative Fund Annual Activity Report - From the Financial Year subsequent to the Financial Year in which the AIF is tagged as Inoperative Fund
2.	Audit of terms of PPM (Para 21.3 under Chapter 21 of this Master Circular)	From the Financial Year subsequent to the Financial Year in which the AIF is tagged as Inoperative Fund.
3.	Intimation of changes in PPM (Para 21.4 under Chapter 21 of this Master Circular)	
4.	Compliance Test Report (CTR) (Para 21.2 under Chapter 21 of this Master Circular)	
5.	Reporting of information, including scheme-wise valuation and cash flow data to the Benchmarking Agencies for performance benchmarking (Chapter 22 -of this Master Circular)	
6.	NISM certification requirement for the key investment team of the fund (Regulation 4(g)(i) of AIF Regulations)	Date of obtaining Inoperative Fund status
7.	Requirement of custodian for safekeeping of securities of AIF (Regulation 20(11) of AIF Regulations)	Date of obtaining Inoperative Fund status
8.	Periodic disclosure to investors regarding fund investments in terms of Regulation 22(a) of AIF Regulations	Date of obtaining Inoperative Fund status
9.	Annual (Category I and II AIFs) /Quarterly reports (Category III AIFs) to investors in terms of Regulation 22(g) and 22(h) of AIF Regulations	From the Financial Year/Quarter subsequent to the Financial Year/Quarter in which the AIF is tagged as Inoperative Fund.
10.	Valuation of investments of AIFs (Regulation 23(2) and 23(3) of AIF Regulations)	Date of obtaining Inoperative Fund status – The valuation shall be reported to investors as part of annual retention status report and accordingly, the updated Net Asset Value of the AIF units shall also be reported to depositories within 30 calendar days from the end of March of every financial year.



भारतीय प्रतिभूति और विनियम बोर्ड
Securities and Exchange Board of India

Annexure 23 - Format for Annual Retention Status Report

(To be submitted to SEBI and investors within 30 calendar days from the end of March of every financial year)

Details of AIF and its scheme(s)

S. No.	Information related to	Particulars	Details
1.	Details of AIF	a) Name of the AIF	
		b) Category of the AIF	
		c) Registration Number	
		d) Date of obtaining 'Inoperative Fund' status (If applicable)	
2.	Details of scheme(s) with retained monies*	a) Name of the scheme(s)	
		b) End date of permissible fund life (end of liquidation period or dissolution period as applicable in dd/mm/yyyy format)	
		c) Reason(s) for non-winding up of scheme before end of permissible fund life (Provide specific reason for non-winding up/ retention of proceeds)	
		d) Amounts retained/'Inoperative fund' obtained on account of – (Choose one of the options given herein)	(i) Pending litigation or tax / regulatory demand (Demonstrable Receipt/Official communication to be enclosed) (ii) Anticipated litigation or tax demand (Document recording the details of investor consent obtained to be enclosed) (iii) Residual operational expenses (Supporting invoices / comparable